

JD.com, Inc.

JD | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$55.00
Current price (October 2, 2026 close)	\$25.78
Implied upside / downside	+115%
Verdict	BUY

Investment Thesis

JD.com is China's most logistics-moated retailer: a direct-sales (1P) e-commerce business built on a proprietary nationwide fulfillment network that delivers same-day and next-day at a scale no competitor has replicated. The investment case is straightforward and, in our judgment, underappreciated: JD's moat is physical -- warehouses, delivery stations, and a supply chain that took two decades and enormous capital to build -- and physical moats do not erode the way digital ones do. At \$25.78 the shares trade as though Chinese consumption is in permanent decline and JD is a melting legacy retailer. We see a business generating prodigious operating cash flow, returning capital through buybacks, and priced at a multiple that assumes the bear case on China as the permanent state of the world.

Our judgment on the forward trajectory centers on two underappreciated drivers. First, JD's supply-chain capability is being extended into new categories of demand -- instant retail and on-demand delivery, where JD's fulfillment density is a genuine structural advantage over marketplace-only competitors. The economics of delivering in under an hour favor the operator that already has inventory positioned within kilometers of the customer; that is JD. Second, the 1P model gives JD a quality and authenticity guarantee that matters more, not less, as Chinese consumers become more discerning -- counterfeit and quality concerns structurally favor the retailer that takes title to the goods it sells. These are durable advantages compounding quietly while the market debates macro headlines.

We price the China risk explicitly rather than embedding it in pessimism: a 250bp country-risk premium in the discount rate, regional peer benchmarking, and a bear case at \$35.50 that assumes a prolonged consumption downturn and continued competitive intensity. Even so, the probability-weighted math supports a \$55.00 target, +115% above the current price. The base case (\$50.67) requires nothing heroic -- mid-single-digit revenue growth, stable 1P margins, and continued capital returns. The bull case (\$93.16) assumes consumption normalization plus successful scaling of instant retail. This is a bet that China's largest quality retailer, bought at a distressed multiple with the sovereign risk transparently priced, compounds through the cycle.

Business Overview

JD.com, founded in 2004 by Liu Qiangdong (Richard Liu) and listed on Nasdaq in 2014 (with a Hong Kong secondary listing), is China's largest direct online retailer by revenue. The core is the 1P retail business -- JD buys inventory and sells it directly, guaranteeing authenticity -- complemented by a third-party marketplace, and powered by JD Logistics, the integrated supply chain and fulfillment arm with the country's most extensive self-operated warehouse and delivery network. The group also includes JD Health and JD Industrials. Revenue is diversified across electronics, home appliances, general merchandise, and fast-moving consumer goods, with a customer base of several hundred million annual active users skewed toward quality-conscious urban consumers.

The business model differs fundamentally from marketplace peers: JD accepts lower gross margins on 1P sales in exchange for control over pricing, fulfillment speed, and authenticity, and monetizes the infrastructure through scale, advertising and logistics services sold to third parties. This capital intensity was long criticized; it is now the moat. Replicating JD's fulfillment density would require a competitor to spend tens of billions of yuan and a decade of operating losses -- a check no rational entrant writes against an incumbent already earning returns on the installed base.

Forward Outlook

Our forward view is that JD enters a harvest phase on its logistics investments while planting the next growth driver in instant retail. We expect the core 1P business to grow roughly in line with a normalizing Chinese consumption environment -- not the boom years, but a durable mid-single-digit trajectory -- with margin expansion coming from scale, advertising attach, and supply-chain efficiency rather than from price increases. Management's commentary on margin targets is tested against the reality of competition from Pinduoduo and Alibaba; we haircut the most optimistic margin guidance and assume JD continues to invest a portion of gross profit back into price competitiveness, which is the correct long-run strategy even if it frustrates near-term margin expansion.

Instant retail and on-demand delivery is the initiative we watch most closely, and our judgment is more constructive than the market's. Skeptics see a costly subsidy war with Meituan; we see JD deploying an existing asset -- inventory positioned near customers -- into a use case with structurally better unit economics for JD than for a pure delivery platform that must build supply from scratch. We model this business reaching contribution-positive on a longer timeline than management suggests, with meaningful investment drag in the early years, but we assign real terminal value to a scaled instant-retail franchise because the logistics advantage is genuine and durable.

Capital allocation is a quiet pillar of the thesis. JD has been repurchasing shares aggressively, and at current prices each retired share is retired at a multiple of earnings that makes the buyback one of the highest-return investments available to the company. We expect buybacks to continue and to be a material contributor to per-share value compounding. The dividend, while modest, signals the transition from pure growth to a balanced return profile. Our bear case assumes consumption stays soft, competition stays intense, and instant retail burns cash longer than expected -- and still values the shares at \$35.50, 38% above today's price, which tells you how much pessimism is already in the quote.

Valuation

We value JD on a probability-weighted scenario DCF with a 250bp China country-risk premium in the discount rate in all scenarios, benchmarked against regional peers facing similar risks. The bear case (\$35.50) assumes prolonged soft consumption, sustained competitive intensity from Pinduoduo and Alibaba, and a longer, costlier ramp in instant retail. The base case (\$50.67) assumes mid-single-digit revenue growth, stable 1P economics with gradual margin expansion from scale and advertising, and continued share repurchases. The bull case (\$93.16) assumes consumption normalization, successful scaling of instant retail into a profitable franchise, and a re-rating as the market recognizes the durability of the logistics moat.

Scenario	Key assumption	Fair value per share
Bear -- prolonged softness	Weak consumption; costly instant-retail ramp	\$35.50
Base -- normalization	Mid-single-digit growth; buybacks continue	\$50.67
Bull -- moat recognized	Consumption recovery; instant retail scales	\$93.16
Probability-weighted (25/50/25)	Country-risk premium in all scenarios	\$57.50

The probability-weighted value is \$57.50; our \$55.00 target applies a modest haircut to reflect the wide outcome range in Chinese equities, and still implies +115% upside from \$25.78. Note that even the bear case sits 38% above the current price -- the market is pricing an outcome worse than our genuinely adverse scenario, which is the definition of a mispriced risk premium.

Key Risks

- Chinese consumption: a deeper or longer downturn than our bear case would impair revenue growth and margins.
- Competition: Pinduoduo, Alibaba, and Meituan (in instant retail) compete aggressively on price; sustained price wars compress 1P margins.
- VIE structure: structural legal risk under Chinese law applies to the ADR/equity structure.
- Regulatory intervention: platform-economy regulation has eased but could return; data, labor, and antitrust rules remain live risks.
- Instant-retail losses: the on-demand delivery push could burn more cash for longer than modeled if subsidy competition intensifies.
- Geopolitical risk: US-China tensions, including listing and audit-compliance overhangs, can compress multiples regardless of fundamentals.
- Founder overhang: governance perception around the founder remains a discount factor for some investors.

What Would Change Our Mind

- Two consecutive quarters of declining annual active users would indicate share loss beyond cyclical softness.

- Sustained 1P gross-margin erosion not explained by deliberate price investment would signal structural pricing-power loss.
- A major regulatory action targeting JD specifically, or a VIE-structure challenge.
- Abandonment or sharp curtailment of the buyback program while the shares remain depressed, signaling capital-allocation drift.
- Evidence that the logistics network is being outbuilt or out-executed by a competitor at lower cost.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case. For Chinese businesses we apply a 250bp country-risk premium to the discount rate in every scenario.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.